

US ECONOMICS ANALYST

Iran and the US Economy

- The main transmission channel from the war with Iran to the US economy is the price of oil. Our commodity strategists now expect Brent to average \$98 in March and April—up 40% from the 2025 average—before falling back to \$71 by 2026Q4. In an upside risk scenario where oil flows through the Strait of Hormuz are disrupted for a total of one month, they estimate that Brent would average \$110 in March and April before gradually declining to \$76 by 2026Q4.
- Our rules of thumb are that a sustained 10% increase in oil prices boosts headline and core PCE inflation by 0.2pp and 0.04pp, respectively, while lowering GDP growth by around 0.1pp. The growth impact from a temporary price increase that gradually fades, as envisaged by our strategists, is roughly half as large.
- To dig deeper, we look back at the impact of past conflicts on markets and the economy and draw three conclusions. First, while conflicts have sometimes led to large spikes in oil prices that lasted for a while, their impact on financial conditions has usually been more limited and briefer. Second, geopolitical risk also weighs on hiring and investment in ways that extend beyond the effects of higher oil prices and tighter financial conditions. Third, in the recent geopolitical events where the economy slowed the most—the Gulf War and 9/11—the equity market sold off more than in the average event, confidence declined, and oil prices jumped in the first case.
- Based on our new oil forecasts, our rules of thumb, these historical lessons, and the details of the February CPI report, we have raised our year-over-year December 2026 headline PCE inflation forecast by 0.8pp to 2.9% and our core PCE forecast by 0.2pp to 2.4%. We have also lowered our 2026 Q4/Q4 GDP growth forecast by 0.3pp to 2.2% (or 2.6% on a full-year basis). Our forecast for the peak unemployment rate is now 4.6%, up from 4.44% in February.
- In our strategists' upside oil price scenario, we see headline PCE inflation at 3.3% (with a peak of 4½% in the spring) and core inflation at 2.5% in December 2026, and we see GDP growing 2.1% Q4/Q4 (or 2.5% on a full-year basis). Based on both these upside risks and the weaker February jobs report, we have raised our estimated risk of recession over the next 12 months by 5pp to 25%, 10pp above the unconditional long-term average but in line with the latest Bloomberg consensus.

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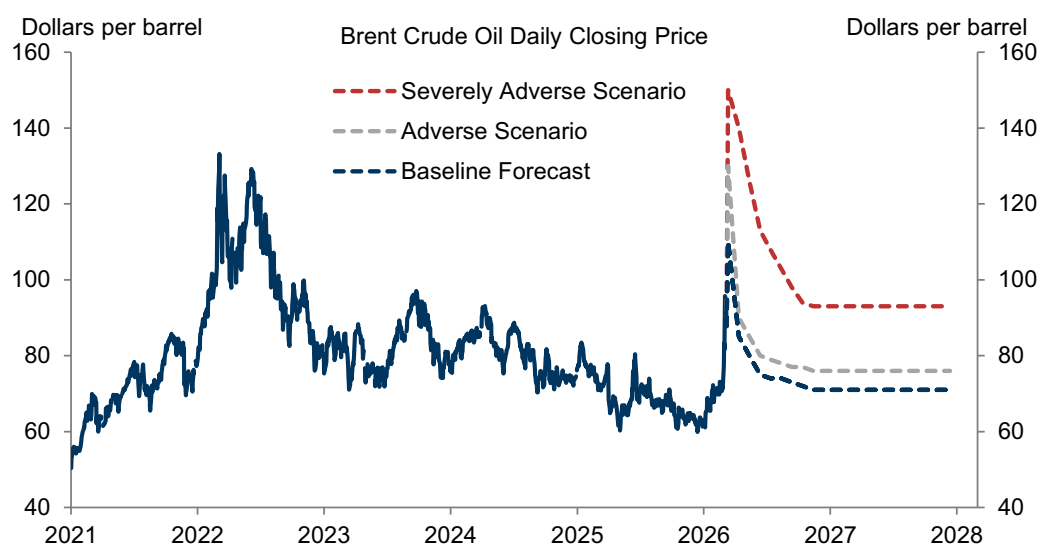
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- A higher inflation path will make it harder for the Fed to start cutting soon. We are therefore pushing back the first cut in our Fed forecast from June to September, followed by a second cut in December to the same terminal rate of 3-3.25%. But if the labor market weakens sooner and more substantially than we expect, we do not think that concern about the impact of higher oil prices on inflation and inflation expectations would be an obstacle to earlier rate cuts.

Iran and the US Economy

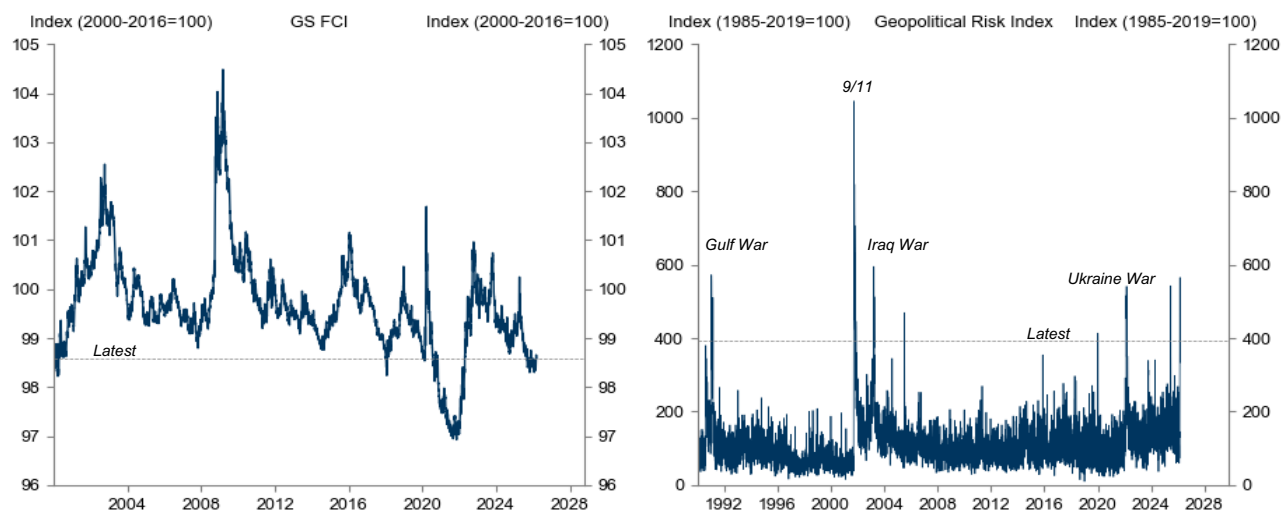
The main transmission channel from the war with Iran to the US economy is the price of oil. Our commodity strategists now expect Brent to average \$98 in March and April—up 40% from the 2025 average—before falling back to \$71 by 2026Q4. In an upside risk scenario where oil flows through the Strait of Hormuz are disrupted for a total of one month, they estimate that Brent would average \$110 in March and April before gradually declining to \$76 by 2026Q4. A more extreme upside scenario with a 60-day disruption to flows through the Strait of Hormuz could see prices average \$145 in March and April before declining to \$93 by 2026Q4.

Exhibit 1: Our Oil Strategists Now Expect Oil Prices to Average \$98 in March and April Before Falling to \$71 in 2026Q4; They See Upside Risk to Their Forecast



Source: Goldman Sachs Global Investment Research, Department of Energy

Our financial conditions index (FCI) has also now tightened by about 0.2pp after responding very little on the first day of the conflict (Exhibit 2, left), and the Fed's Geopolitical Risk Index has risen quickly too and is now four times its average level (Exhibit 2, right).

Exhibit 2: Financial Conditions Have Not Tightened Significantly, but Geopolitical Risk Has Risen Sharply

Source: Goldman Sachs Global Investment Research, Federal Reserve

To estimate the impact of the war on the US economy, we rely on a few rules of thumb.

On inflation, our rule of thumb is that a sustained 10% increase in oil prices boosts headline and core PCE inflation by 0.2pp and 0.04pp, respectively.

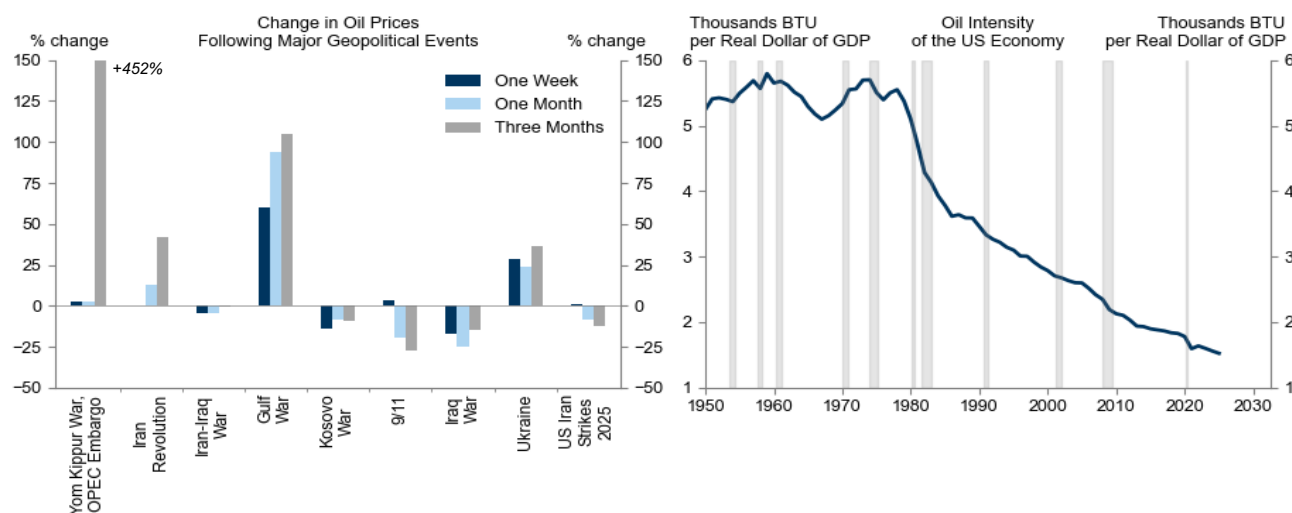
On growth, our rule of thumb is that a sustained 10% increase in oil prices lowers GDP growth by 0.1pp without a domestic energy capex response—if, for example, domestic producers are unsure of when the conflict will end and consequently how long prices will stay high—or about 0.07pp with a response. The growth impact from a temporary price increase that gradually fades, as envisaged by our strategists, is roughly half as large. The growth hit from tighter financial conditions—we estimate that every 1pp tightening in our FCI reduces GDP growth by about 1pp over the following year—would add to the effect of higher oil prices.

Lessons from Past Geopolitical Events

To dig deeper, we look back at the effects of past conflicts on markets and the economy. We draw three conclusions.

First, while conflicts have sometimes led to large spikes in oil prices that lasted for a while, their impact on financial conditions has usually been more limited and briefer. The left side of Exhibit 3 shows that oil prices quadrupled after the OPEC oil embargo in 1973-1974 and doubled during the Gulf War. That said, the economy's exposure to oil shocks is lower today, both because the oil intensity of US GDP has fallen sharply—as shown on the right side of Exhibit 3—and because of the rise of shale, where increases in energy capex when oil prices rise now help to offset the hit to real income and consumer spending.

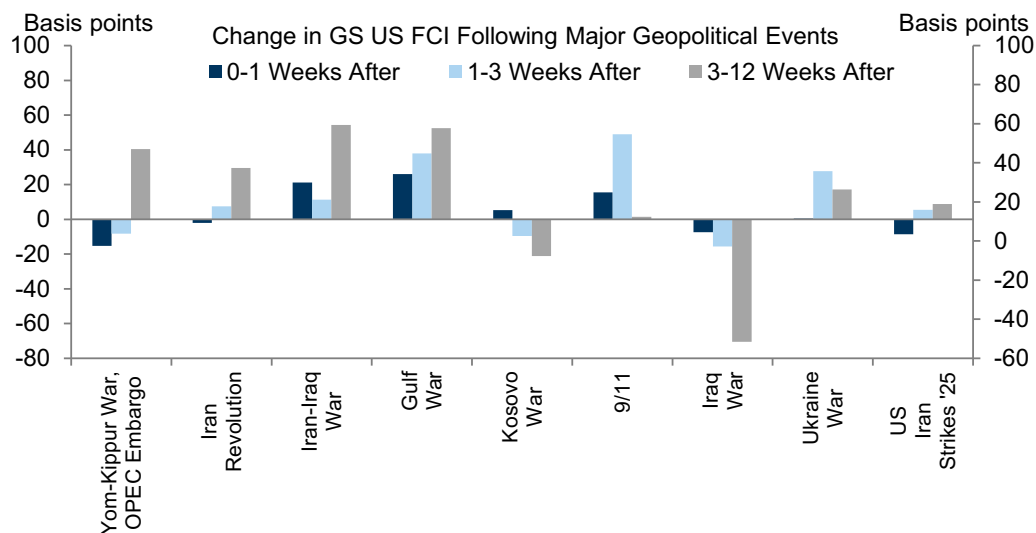
Exhibit 3: Oil Prices Spiked and Remained Very High for a While Around Some Past Conflicts, Though the US Economy Is Much Less Vulnerable to Oil Price Shocks Now Than It Was in Prior Decades



Source: Goldman Sachs Global Investment Research, Department of Energy

Exhibit 4 shows that tightening in financial conditions following conflicts has usually been more limited and briefer in recent decades. Financial conditions did tighten meaningfully around a few events in the 1970s and the Gulf War, but inflation was high at the time, which forced the Fed to raise interest rates or limited its ability to support the economy with rate cuts.

Exhibit 4: Financial Conditions Tightened Meaningfully Around Earlier Conflicts When Inflation Was High and the Fed Was Unable to Help, but Have Reacted More Modestly and Briefly in Recent Decades

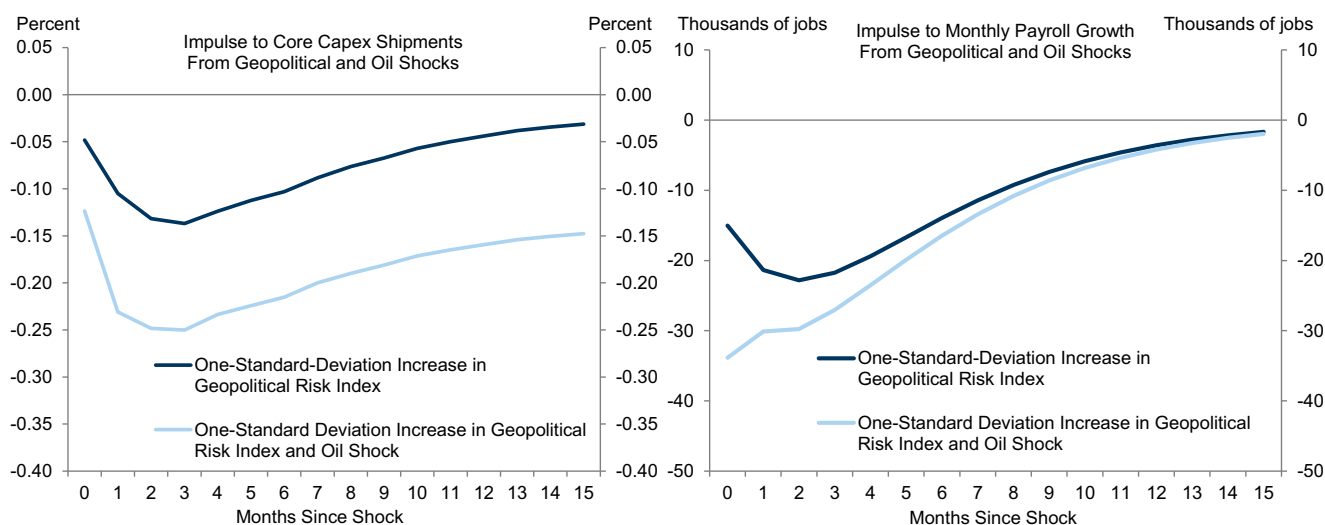


Source: Goldman Sachs Global Investment Research

Second, conflicts abroad can also affect the US economy in ways that extend beyond the effects of higher oil prices and tighter financial conditions. In particular, Fed researchers find that higher geopolitical risk weighs on hiring and capex, and Exhibit 5 shows that

when shocks to geopolitical risk and oil prices¹ occur simultaneously, the impact is roughly twice as large. We also find that higher geopolitical risk and oil prices have a brief negative impact on consumer confidence.

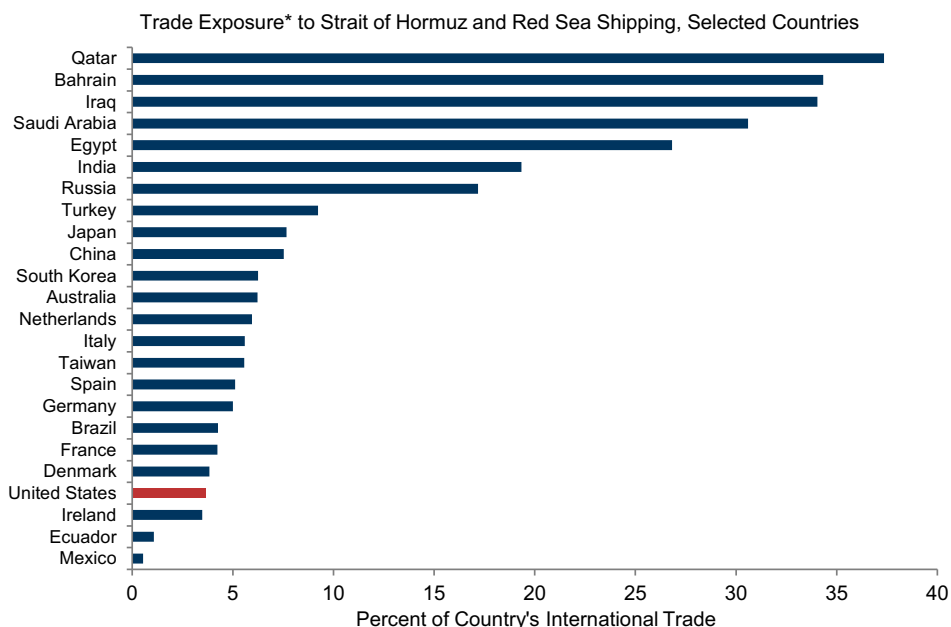
Exhibit 5: Higher Geopolitical Risk Weighs on Business Investment and Hiring, Particularly When Coupled With an Oil Price Shock



Source: Goldman Sachs Global Investment Research, Federal Reserve

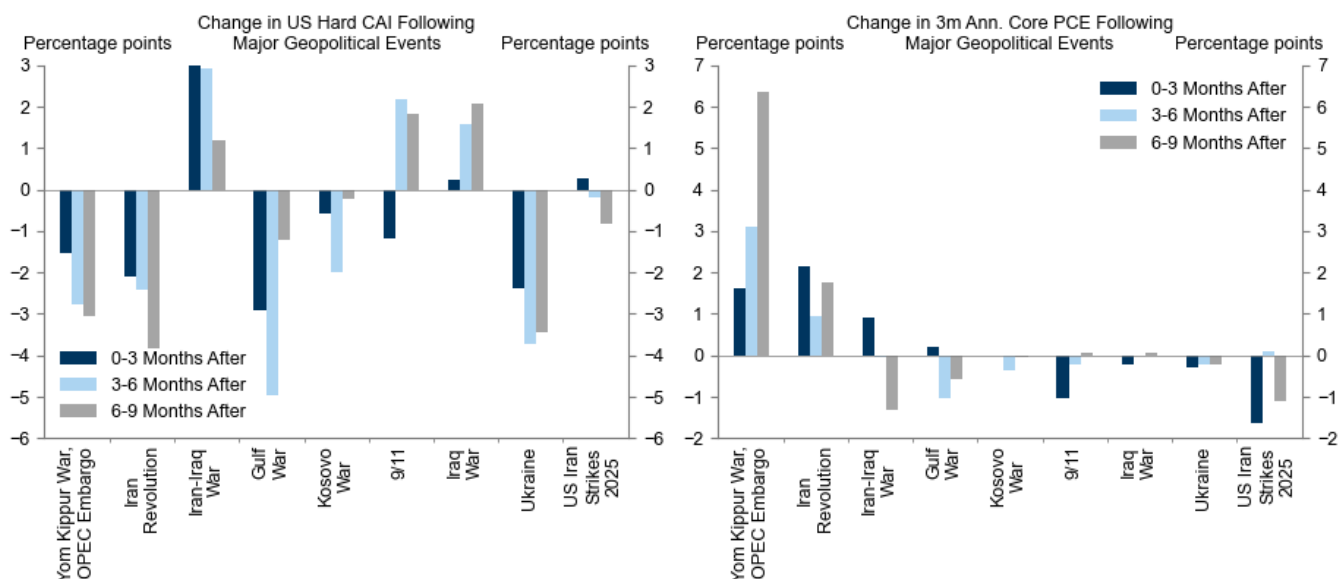
Disruptions to trade caused by conflicts can also hurt activity but are less likely to meaningfully affect the US economy this time because it is less exposed to the most relevant chokepoints, as Exhibit 6 shows. Higher geopolitical risk could also push up shipping prices, though the roughly 40% decline in shipping through the Red Sea that has persisted since attacks by Houthi forces in 2023 would reduce the impact of further disruptions. In any case, shipping costs only amount to 1–2% of the cost of US consumer goods imports, which means that even a 25% increase in global shipping costs would raise US inflation by 0.05pp or less.

¹ We proxy for supply-driven oil price increases using oil supply shocks from Känzig (2021).

Exhibit 6: The US Is Not Very Exposed to Trade Chokepoints in the Middle East


Source: Goldman Sachs Global Investment Research, Verschuur et al. (2025)

Third, while there has not been a consistent pattern in activity or inflation following past geopolitical events, as Exhibit 7 shows, some common features distinguish the events where the economy slowed the most. Growth slowed sharply during the conflicts in the 1970s both because of the direct impact of very large oil price spikes and because the Fed tightened monetary policy in response to higher inflation. In the recent events where the economy slowed the most—the Gulf War and 9/11—the equity market sold off more than in the average event, confidence declined, and oil prices jumped in the first case.

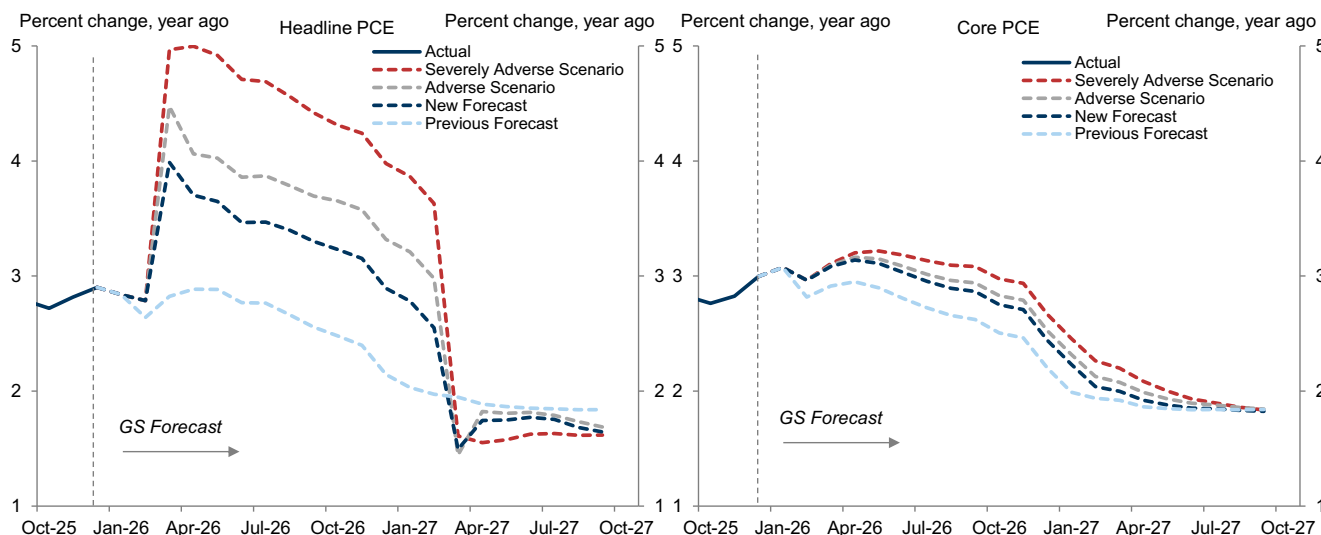
Exhibit 7: The Response of Activity and Inflation to Past Geopolitical Events Has Varied Widely, but the Economy Weakened the Most in Cases That Also Saw a Large Tightening in Financial Conditions


Source: Goldman Sachs Global Investment Research, Department of Commerce

The Impact of Higher Oil Prices on Our Economic Forecasts

Based on our new oil forecasts, our rules of thumb, these historical lessons, and the details of the February CPI report, we have raised our December 2026 headline PCE inflation forecast by 0.8pp to 2.9% and our core PCE forecast by 0.2pp to 2.4%. In our strategists' upside oil price scenario, we see headline PCE inflation at 3.3% (with a peak of 4½% in the spring) and core inflation at 2.5% in December 2026. Under their severe upside scenario, headline PCE would be 4.0% (with a peak of 5% in the spring) and core PCE would be 2.7%.

Exhibit 8: We Have Raised Our December 2026 Headline PCE Inflation Forecast by 0.8pp to 2.9% and Our Core PCE Forecast by 0.2pp to 2.4%; Both Could Peak Substantially Higher in a More Severe Risk Scenario



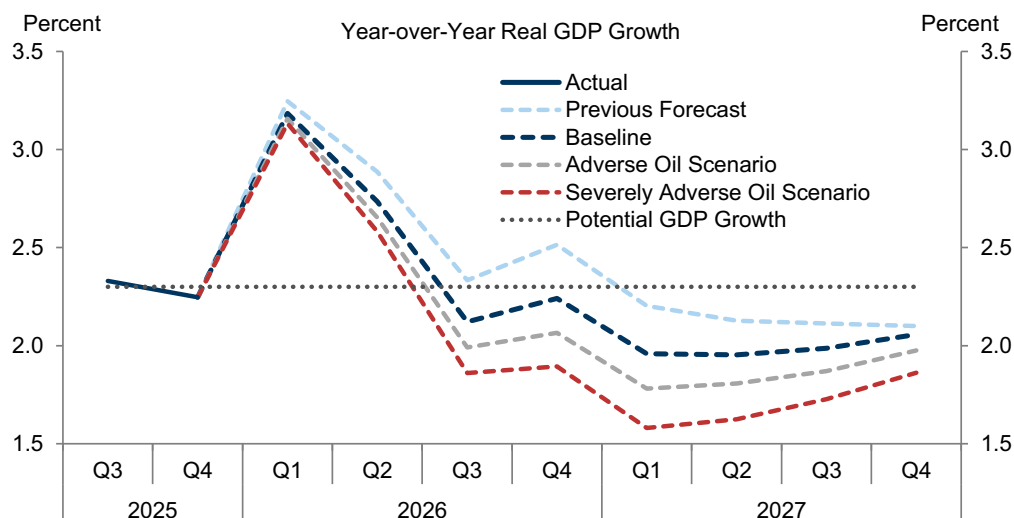
Note: Baseline assumes oil prices average \$98 in March and April before declining to \$71 by 2026Q4. Upside risk scenario assumes oil prices average \$110 in March and April before declining to \$76 by 2026Q4. Severe upside scenario assumes oil prices average \$145 in March and April before declining to \$93 by 2026Q4.

Source: Goldman Sachs Global Investment Research, Department of Commerce

We have also lowered our 2026 Q4/Q4 GDP growth forecast by 0.3pp to 2.2% (or 2.6% on a full-year basis), as shown in Exhibit 9. This reflects a drag from higher oil prices, tighter financial conditions, and higher geopolitical risk that is partially offset by an increase in defense orders. The pickup in defense output will be constrained because production of much of the weaponry that is being most rapidly depleted is already at maximum capacity.

GDP growth would be 2.1% Q4/Q4 or 2.5% on a full-year basis in our upside risk scenario for oil prices and it would be 1.9% Q4/Q4 or 2.4% on a full-year basis in our more extreme upside scenario shown.

Exhibit 9: We Have Also Lowered Our 2026 Q4/Q4 GDP Growth Forecast by 0.3pp to 2.2% (or 2.6% on a Full-Year Basis) and See the Risks As Tilted Toward Lower Growth If the Conflict Lasts Longer



Note: Baseline assumes oil prices average \$98 in March and April before declining to \$71 by 2026Q4. Upside risk scenario assumes oil prices average \$110 in March and April before declining to \$76 by 2026Q4. Severe upside scenario assumes oil prices average \$145 in March and April before declining to \$93 by 2026Q4.

Source: Goldman Sachs Global Investment Research, Department of Commerce

Reflecting both the downgrade to our growth forecast and the weak February employment report, we now expect the unemployment rate to peak at 4.6% in Q3, up from 4.44% in February.

We have also raised our estimated risk of recession over the next 12 months by 5pp to 25%, 10pp above the unconditional long-term average but in line with the latest Bloomberg consensus.

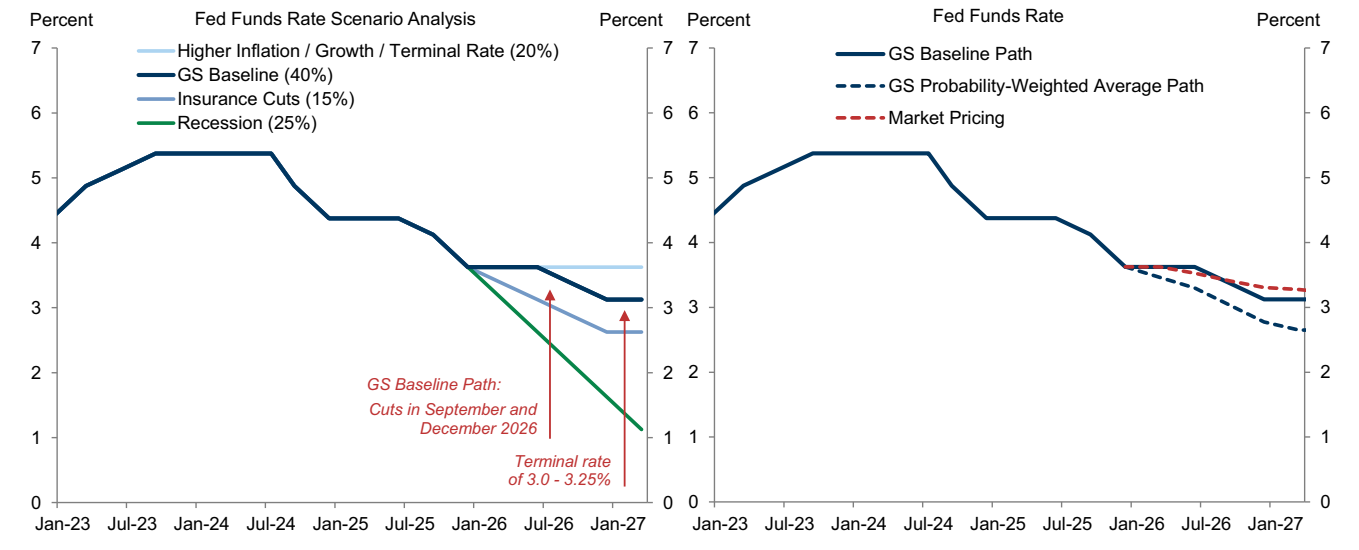
Implications for the Fed

We had previously expected the FOMC to deliver two final 25bp rate cuts in June and September mainly for the purpose of normalizing the funds rate to 3-3.25% once enough progress on inflation had been made. A June start now looks too early under our higher revised inflation forecast, and we are therefore pushing back the two cuts to September and December. By September, we expect both some further labor market softening and progress on underlying inflation to contribute to the case for a cut.

Earlier cuts are still possible if the labor market weakens sooner and more substantially than we expect. The weaker February employment report kept concerns about further labor market softening alive, and both lower GDP growth and higher geopolitical risk would make this somewhat more likely. If the labor market softens enough to make a case for cutting earlier, we do not think that concern about the impact of higher oil prices on inflation and inflation expectations would hold the FOMC back.

We have revised our scenario analysis for the Fed's path, shown on the left side of Exhibit 10, to reflect both the slightly greater risk that higher inflation could keep the Fed on hold for longer and the upward adjustment to our recession probability. The right side of Exhibit 10 shows that our probability-weighted Fed path remains more dovish than both our baseline forecast and market pricing.

Exhibit 10: We Are Pushing Back the First Rate Cut From June to September, Followed by a Second Cut in December; Our Probability-Weighted Fed Forecast Remains More Dovish Than Market Pricing



Source: Goldman Sachs Global Investment Research, Federal Reserve

Manuel Abecasis

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The US Economic and Financial Outlook

THE US ECONOMIC AND FINANCIAL OUTLOOK

(% change on previous period, annualized, except where noted)

	2023	2024	2025	2026	2027	Q1	2025 Q2	Q3	Q4	Q1	2026 Q2	Q3	Q4
OUTPUT AND SPENDING													
Real GDP	2.9	2.8	2.2	2.6	1.9	-0.6	3.8	4.4	1.4	3.3	2.0	1.9	1.9
Real GDP (annual=Q4/Q4, quarterly=yoy)	3.4	2.4	2.2	2.2	2.0	2.0	2.1	2.3	2.2	3.3	2.8	2.2	2.3
Consumer Expenditures	2.6	2.9	2.7	1.8	1.8	0.6	2.5	3.5	2.4	1.0	1.4	1.6	1.7
Residential Fixed Investment	-7.8	3.2	-2.2	-0.2	1.8	-1.0	-5.1	-7.1	-1.6	3.1	1.5	1.5	1.5
Business Fixed Investment	7.3	2.9	4.2	5.0	4.4	9.5	7.3	3.2	3.7	5.9	5.6	5.2	4.2
Structures	16.7	1.1	-5.0	0.9	3.3	-3.1	-7.5	-5.0	-2.4	3.5	5.0	4.5	3.0
Equipment	2.9	3.5	8.2	5.8	5.2	21.3	8.5	5.2	3.2	7.1	6.5	6.0	5.0
Intellectual Property Products	6.2	3.5	5.8	6.3	4.2	6.5	15.0	5.6	7.4	6.0	5.0	4.8	4.0
Federal Government	3.3	3.8	-1.2	1.9	0.9	-5.6	-5.3	2.7	-16.6	22.5	0.0	1.0	1.0
State & Local Government	3.6	3.8	2.6	1.1	0.9	1.9	3.1	2.0	2.4	0.3	0.3	0.5	1.0
Net Exports (\$bn, '17)	-925	-1,033	-1,086	-968	-1,025	-1,381	-1,058	-956	-950	-944	-964	-975	-989
Inventory Investment (\$bn, '17)	47	44	29	25	35	172	-18	-24	-14	5	30	30	35
Nominal GDP	6.7	5.3	5.1	6.5	3.9	2.9	6.0	8.3	5.1	9.3	6.1	3.8	3.6
Industrial Production, Mfg.	-1.0	-1.0	0.9	2.3	3.1	4.0	2.5	2.6	-2.2	3.8	3.7	3.2	3.0
HOUSING MARKET													
Housing Starts (units, thous)	1,421	1,371	1,359	1,286	1,322	1,401	1,354	1,346	1,333	1,280	1,290	1,280	1,292
New Home Sales (units, thous)	665	685	672	670	644	655	665	688	680	690	690	662	638
Existing Home Sales (units, thous)	4,103	4,067	4,076	4,212	4,375	4,087	4,013	4,047	4,157	4,169	4,189	4,223	4,267
Case-Shiller Home Prices (%yoy)*	5.3	3.8	0.4	0.8	2.2	3.9	2.4	1.5	0.4	0.1	0.6	0.7	0.8
INFLATION (% ch, yr/yr)													
Consumer Price Index (CPI)**	3.3	2.9	2.7	2.8	1.9	2.7	2.5	2.9	2.7	2.9	3.4	3.1	2.9
Core CPI **	3.9	3.2	2.6	2.3	2.0	3.1	2.8	3.1	2.7	2.6	2.8	2.5	2.4
Core PCE** †	3.1	3.0	3.0	2.4	2.0	2.8	2.7	2.9	2.9	3.0	3.1	2.9	2.6
LABOR MARKET													
Unemployment Rate (%)*	3.8	4.1	4.4	4.6	4.4	4.2	4.1	4.4	4.4	4.4	4.5	4.6	4.6
U6 Underemployment Rate (%)*	7.2	7.6	8.4	8.6	8.3	7.9	7.7	8.1	8.4	8.3	8.4	8.5	8.6
Payrolls (thous, monthly rate)	210	122	15	41	92	20	34	23	-17	28	45	45	47
Employment-Population Ratio (%)*	60.1	59.9	59.7	59.5	59.4	59.9	59.7	59.7	59.7	59.7	59.7	59.6	59.5
Labor Force Participation Rate (%)*	62.5	62.5	62.4	62.4	62.2	62.5	62.3	62.5	62.4	62.5	62.5	62.4	62.4
Average Hourly Earnings (%yoy)	4.2	5.4	4.6	4.0	3.9	5.0	4.6	4.5	4.4	4.2	4.1	3.9	3.8
GOVERNMENT FINANCE													
Federal Budget (FY, \$bn)	-1,694	-1,833	-1,775	-2,050	-2,200	--	--	--	--	--	--	--	--
FINANCIAL INDICATORS													
FF Target Range (Bottom-Top, %)*	5.25-5.5	4.25-4.5	3.5-3.75	3-3.25	3-3.25	4.25-4.5	4.25-4.5	4-4.25	3.5-3.75	3.5-3.75	3.5-3.75	3.25-3.5	3-3.25
10-Year Treasury Note [^]	3.88	4.58	4.18	4.20	4.25	4.23	4.24	4.16	4.18	4.20	4.20	4.20	4.20
Euro (€/€)*	1.11	1.04	1.17	1.22	1.24	1.08	1.18	1.17	1.17	1.17	1.21	1.21	1.22
Yen (\$/¥)*	141	157	157	153	139	150	144	148	157	157	154	154	153

* Weighted average of metro-level HPIs for 381 metro cities where the weights are dollar values of housing stock reported in the American Community Survey. Annual numbers are Q4/Q4.

** Annual inflation numbers are December year-on-year values. Quarterly values are Q4/Q4.

† PCE = Personal consumption expenditures. ^ Denotes end of period.

Note: Published figures in bold.

Source: Goldman Sachs Global Investment Research

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Disclosure Appendix

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